

# PADMA Interest Subsidy Scheme

DRAFT FOR REVIEW | SCHEME | D044

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PADMA Interest Subsidy reduces the cost of eligible term borrowing for qualifying micro and small enterprises connected to PADMA products. The scheme distinguishes units inside an approved cluster from new units outside it in the relevant block.

The March 2024 notification provides reimbursement at 6% a year or the actual interest rate paid, whichever is lower. The annual ceiling is ₹20 lakh inside the approved cluster and ₹10 lakh for the specified outside-cluster category. It provides for five consecutive financial years, with the starting point linked to the policy and loan dates.

## The loan and activity must both qualify

The notified scheme period runs from 17 August 2023 to 16 August 2028, or policy validity. Loan sanction and disbursement dates matter; the source includes treatment for a loan sanctioned before re-notification but disbursed afterwards.

The unit must meet registration and operating conditions and must not be a defaulter or NPA with a bank. The source links eligible manufacturing and allied activities to PADMA-approved products and recognises specified supporting services inside clusters. It also restricts similar interest incentives under other state policies.

## Prepare the annual interest record

Keep the loan sanction, disbursements, bank interest certificate, repayment statement and project investment schedule together. Reconcile the lender's certificate with interest recorded and paid. The maximum percentage is not a calculation on the original sanctioned loan amount regardless of repayments.

Confirm the approved cluster or outside-cluster product relationship and retain Udyam, HUM and commercial-production evidence. The notification links the annual filing period to the end of the financial year, with the stated alternative for its notification date. Maintain a claim calendar for each year of the support period.

### Is working-capital interest included?

The cited benefit is for term loans. [PADMA Capital Investment Subsidy](#) addresses a separate investment cost and needs its own assessment. A working-capital facility should not be added without an applicable supporting provision.

### Is the entire bank interest bill reimbursed?

No. Assistance is constrained by eligible borrowing, actual interest, the scheme percentage and the annual ceiling. Charges or borrowing outside the approved scope need separate treatment.

## Official source

[PADMA Interest Subsidy notification.](#)

## Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory.](#)

[+91 94672 48028](#)

[Discuss your project.](#) An expert consultant from Rapid will call you.

## Source links

Links retained from this manuscript. Consult the referenced authority for current requirements; the PDF drafting date does not establish that a source remains current.

1. PADMA Interest Subsidy notification

<https://cdnbbsr.s3waas.gov.in/s3f48c04ffab49ff0e5d1176244fdb65c/uploads/2024/03/202403191898945670.pdf>